Many people perceive real estate investing to be less risky than stock market investing, but it’s only because they don’t have Mrs Housing updating the price of their assets daily. Homeowners would consider their housing assets a lot more volatile if they saw these daily movements. Instead, homeowners only really note their house prices a couple of times: when they’re about to buy their home, when they remortgage it and when they’re about to sell it. The average time between buying and selling your home is usually 7.4 years. If a stock market investor in a broad market index also only checked their index fund every 7.4 years, they wouldn’t consider the stock market to be as risky.

Unfortunately, in the stock market this data is updated every second.

For example, take a look at figure 2.3. To the average person this may confirm their concerns that the stock market is too volatile. It’s a graph of the Vanguard S&P 500 exchange-traded fund (ETF VOO), made up of the top 500 companies in the US, displaying its movement over the course of a day.